

57,000

number of credit unions in 105 countries around the world

For-profit

The goal is to make money and maximize profit for owners and shareholders. The organization's own goals and interest are put before those of its customers.



Owned by private companies/shareholders

Banks are run by highly paid directors, and voting rights depend on the amount of stock owned.



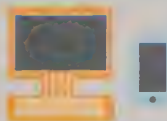
Business orientated

Banks develop and sell money-making products to return a profit to shareholders.



More online services

Run partly or completely online, banks offer little face-to-face or personalized service.



Focus on creditworthy customers

Customers who don't meet the bank's preferred credit profile are routinely rejected.



Bank

CREDIT UNION PRODUCTS

- › **Loans** There are no hidden charges, and loans can often be repaid early without a penalty charge. Some loans include life insurance.
- › **Savings** Deposits are made available to members who need to borrow money. Returns can be low and will be paid either by interest or by annual dividend. Some credit unions have maximum savings limits.
- › **Current accounts** No credit checks are required, there is no monthly fee for the account, and no overdraft is available. Some accounts offer budgeting facilities and advice.

WARNING

- › **Loan rates and terms** may be attractive compared to loans, but rates and terms can get high for those with below-average credit.
- › **Maximum loan amounts** are comparatively low. Approval is often conditional on having saved with the credit union.
- › **As nonprofit organizations**, credit unions often have limited capital to install ATMs in convenient locations or to invest in technology such as websites or online account access.